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Introduction to Accounting: Meaning and objectives, Need and Types of Accounting, Single Entry System, Double Entry System. Concepts and Conventions of Accounting. Users of Accounting information, Basics of Generally Accepted accounting Principles (GAAP), Indian Accounting Standards, IFRS, (Theory only)

Meaning & Objectives

Accounting is a process of identifying the events of financial nature, recording them in the journal, classifying in their respective accounts and summarising them in profit and loss account and balance sheet and communicating results to users of such information, viz. owner, government, creditor, investors, etc.

According to American Institute of Certified Accountants, 1941, “Accounting is the art of recording, classifying and summarising in a significant manner and in terms of money, transactions and events that are, in part at least, of financial character and interpreting the results thereof.”

In 1970, American Institute of Certified Public Accountants changed the definition and stated, “The function of accounting is to provide quantitative information, primarily financial in nature, about economic entities, that is intended to be useful in making economic decisions.”

Objectives of Accounting:

Recording business transactions systematically– It is necessary to maintain systematic records of every business transaction, as it is beyond human capacities to remember such large number of transactions. Skipping the record of any one of the transactions may lead to erroneous and faulty results.

Determining profit earned or loss incurred– In order to determine the net result at the end of an accounting period, we need to calculate profit or loss. For this purpose trading and profit and loss account are prepared. It gives information regarding how much of goods have been purchased and sold, expenses incurred and amount earned during a year.

Ascertaining financial position of the firm– Ascertaining profit earned or loss incurred is not enough; proprietor also interested in knowing the financial position of his/her firm, i.e. the value of the assets, amount of liabilities owed, net increase or decrease in his/her capital.

This purpose is served by preparing the balance sheet that facilitates in ascertaining the true financial position of the business.

Assisting management– Systematic accounting helps the management in effective decision making, efficient control on cash management policies, preparing budget and forecasting, etc. Assessing the progress of the business– Accounting helps in assessing the progress of business from year to year, as accounting facilitates the comparison both inter-firm as well as intra-firm. Detecting and preventing frauds and errors– It is necessary to detect and prevent fraud and errors, mismanagement and wastage of the finance. Systematic recording helps in the easy detection and rectification of frauds, errors and inefficiencies, if any.

Communicating accounting information to various users– The important step in the accounting process is to communicate financial and accounting information to various users including both internal and external users like owners, management, government, labour, tax authorities, etc. This assists the users to understand and interpret the accounting data in a meaningful and appropriate manner without any ambiguity.

Branches of accounting vary depending on their usage. A company can either use it for internal purposes or public purposes. Internal usage includes reporting processes to regulatory agencies. However, public usage is beneficial to everyone who involves in a business. The list includes investors, owners, customers, etc.

Check out the following accounting types to decide which is suitable for your business purpose:

- **Managerial accounting**

Managerial or management accounting deals with a company's operation. It collects the data related to the company's operation and delivers it to the manager. This data helps the manager to take decisions regarding a company's development. These accounting types include cost analysis, forecasting, budgeting, financial analysis, etc. Moreover, it helps assess previous business decisions to opt for precise decision-making.

- **Financial accounting**

Financial accounting is one of the crucial types of accounting that helps a company to make informed financial decisions. A company can attract potential investors and comply with legal rules and regulations with a proper understanding of financial accounting.

This is because investors always check a company's financial report to invest in its stocks and shares. The financial report of a company comprises the business's health. A company uses this strategy to create income statements, balance sheets, and cash flow statements.

All these documents are highly essential for a company as they keep the company compliant with the laws and regulations and determine its performance. This is because the government uses these reports to assess a company's tax status and legal records.

- **Cost accounting**

Industries that include a vast resource management cost can opt for cost accounting to manage their cost control. Companies use this technique to assess their internal operations strategically. Basically, cost accounting deals with a company's variable and fixed costs to record and analyse the production costs. As a result, it is also considered a type of managerial accounting.

Cost accounting collects information regarding fixed and variable costs and then analyses their effects on the business. Finally, it determines how to manage the company's costs for better financial development.

- **Forensic accounting**

As the name suggests, these types of accounting are associated with legal fields. It helps determine if the company has been involved in any kind of financial crime. Maurice Peloubet, in 1946, introduced the term forensic accounting. This technique helps extract, report, identify and record the financial data of a company to verify the company's authentication.

However, forensic accounting is not just associated with industries. It also deals with divorce cases. With forensic accounting, the legal team can expose the hidden assets of a spouse to handle civic matters lawfully. Moreover, it helps determine the economic conditions due to non-disclosure, breach, and non-compete agreement.

- **Tax accounting**

Through tax accounting, a company can determine the amount of payable income tax and other taxes. Moreover, tax accounting helps them find legal ways to reduce their payable taxes. Tax accounting also ensures that every company abides by the rules and regulations of the Indian Revenue System (IRS).

Importance of accounting

The benefits of accounting do not end with determining a company's financial records. Scroll down to learn more about the importance of accounting in broader aspects:

- **To avail of bank loans**

Accounting helps provide a company's financial report to banks and other lending institutions. Thus, they can assess the company's credit score, financial stability and other associated factors before sanctioning a loan.

- **Generates company information for stakeholders**

There are several stakeholders associated with a business organisation, and they must have a clear idea of the company's financial status. It will help them make better investment decisions. Moreover, the company's employees, customers, government agencies, etc., should also know about the business performance to evaluate the company's success.

- **Budget creation**

The need of accounting does not end here. A company needs to use strategic accounting to set its budget. It helps collect the real-time financial data of a business to plan the budget strategically. A company should assess its financial stability while creating the budget by including all expenses and income accurately.

A single entry system of bookkeeping is where the transactions of the business affect only one account, i.e. only one account's value will decrease or increase based on the transaction amount. Under this system, a cash book is prepared that shows the payment and receipts of the cash transactions.

Under the single entry system of bookkeeping, the cash book and personal accounts of creditors and debtors are maintained, and no other ledger is maintained. Every transaction of the business

is recorded in the cash book without applying the principles of the double-entry system of bookkeeping. The nominal accounts and real accounts are not recognised under this system. Under this system, the records related to taxes paid, account payable, cash, receivables and few other accounts are maintained. Usually, small businesses prefer the single-entry bookkeeping system as it is easy to maintain and has minimum requirements.

Features of Single Entry System of Bookkeeping

The following are the features of the single entry system:

Original Vouchers

The original vouchers play an essential role under this system. They help gather information such as amount, date of transaction, discount (if any), parties, etc.

Cash Book

Under the single entry system of bookkeeping, the cash book is maintained for recording the cash receipts and payments of the business during a given period. Only one cash book is maintained in which both the private and business transactions are included.

Personal Account

The single entry system maintains the personal accounts of all the creditors and debtors to determine the amount of credit purchases and sales during a given period. The personal accounts are recorded, whereas the real and nominal accounts are ignored under this system.

No Fixed Rules

The single entry system of bookkeeping has no fixed set of rules or principles for determining the profit and preparing the different financial statements. Thus, it is easy to maintain. However, there may be variations in its application from one business to another since there are no fixed rules.

Estimation of Profit or Loss

The profit or loss of the business is estimated out of the information available at hand. Thus, the exact profits or losses are not ascertained. The profit or loss are estimates. Thus, the financial position as a whole of the business cannot be ascertained.

Final Accounts

It is tough to prepare the final accounts in the single entry system of bookkeeping as the real and nominal accounts information are not available. The figures of liabilities and assets are calculated from the information at hand, but they are estimates. Hence, the Statement of Affairs is prepared instead of the Balance Sheet.

Double-entry accounting is a system of bookkeeping where every financial transaction is recorded in at least two accounts. A double-entry system provides a check and balance for each transaction, which helps ensure accuracy and prevent fraud. This accounting system also allows you to track business finances more effectively, and make better decisions about where to allocate your resources.

Account types

The five main types of accounts used in double-entry bookkeeping are:

- **Asset accounts** represent the resources of a business, such as cash, inventory, and equipment.
- **Liability accounts** represent the debts of a business, such as loans and accounts payable.
- **Income accounts** represent the revenue of a business, such as sales and interest income
- **Expense accounts** represent the costs of a business, such as rent and utilities.
- **Equity accounts** represent the funds invested in a business and the amount of profit left after operation costs, also known as, retained income.

Single-entry vs. double-entry accounting

Single-entry accounting is a system where transactions are only recorded once, either as a debit or credit in a single account. This method is simpler and can be used for smaller businesses.

Double-entry accounting is a system where each transaction is recorded in at least two accounts. This method provides a more complete picture of a business's finances, and is typically used by larger businesses.

Basics of Generally Accepted accounting Principles (GAAP),

10 GAAP Principles

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| <ol style="list-style-type: none">1. Principle of Regularity: GAAP-compliant accountants strictly adhere to established rules and regulations.2. Principle of Consistency: Consistent standards are applied throughout the financial reporting process.3. Principle of Sincerity: GAAP-compliant accountants are committed to accuracy and impartiality.4. Principle of Permanence of Methods: Consistent procedures are used in the preparation of all financial reports.5. Principle of Non-Compensation: All aspects of an organization's performance, whether positive or negative, are fully reported with no prospect of debt compensation.6. Principle of Prudence: Speculation does not influence the reporting of financial data.7. Principle of Continuity: Asset valuations assume the organization's operations will continue.8. Principle of Periodicity: Reporting of revenues is divided by standard accounting periods, such as fiscal quarters or fiscal years.9. Principle of Materiality: Financial reports fully disclose the organization's monetary situation.10. Principle of Utmost Good Faith: All involved parties are assumed to be acting honestly. |
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IFRS

The IFRS is a set of standards developed by the International Accounting Standards Board (IASB). The IFRS governs how companies around the world prepare their financial statements.

Unlike the GAAP, the IFRS does not dictate exactly how the financial statements should be prepared but only provides guidelines that harmonize the standards and make the accounting process uniform across the world.

Both individual and corporate investors can analyze a company's financial statements and make an informed decision on whether or not to invest in the company. The IFRS is used in the European Union, South America, and some parts of Asia and Africa.

Indian Accounting Standards Ind As. were developed to harmonize standards related to international accounting and reporting. Accounting standards standardize the whole accounting procedure of the economy.

All companies after adopting these accounting standards follow the same manner of recording transactions. It is an attempt to help everyone in the business sector to easily understand the whole accounting system.

Moreover, considering how companies are prone to frauds and so is the government, the presence of certain norms & principles, accounting standards, scam-proves a company.

What are Indian Accounting Standards?

As per popular definitions, Indian accounting standards are nothing but guidelines to be followed in the accounting system. It means rules & regulations that are to be followed while recording accounting & financial transactions. It governs the manner in which financial statements are prepared & presented in a company.

In India, Institute of Chartered Accountants formulate & issue accounting standards. These standards are followed by accountants of all the companies registered in India. These accounting standards help in preparation and presentation of financial statements.

Core Objectives of the Indian Accounting Standards

There is always a reason for any mission. Similarly, there are certain objectives for having accounting standards.

- The main objective of Indian accounting standards is to bring in more transparency of annual financial statements in company accounts.
- Ensure companies in India adopt these standards to implement internationally recognized best practices.
- One systematic, single accounting system common for all the companies. Cutting out confusions and frauds.
- The Indian accounting standards are so simplified that they can be understood worldwide, globally.
- There are several global requirements and the Indian accounting standards are designed to match the global requirements.
- To increase the reliability of the financial statements.

These are some of the major objectives of Indian accounting standards

Benefits of Indian Accounting Standards

Provides Reliability to Financial Statements

The financial statements are a significant measure of gaining data with respect to organizations. Financial backers and various partners rely upon these assertions for getting data. These individuals take significant choices based on this information as it were.

It is in this way vital that these financial statements are valid and reasonable. Bookkeeping principles completely oversee these financial reports. It is guaranteed by accounting principles that these assertions are genuine and reliable.

Uniformity in Accounting System

Accounting standards are the one that aids in acquiring the consistency of entire accounting. It is one significant benefit of accounting guidelines. Accounting guidelines set similar standards and guidelines for the treatment of accounting exchanges.

It implies that all organizations record the exchanges in a similar way. For instance, Accounting Standard administers the entire deterioration of accounting. All organizations will be following AS-6 for issues worried about devaluation. This way it acquires consistency throughout the entire accounting system in the country, as well as globally.

Report of Management Performance

The accounting standards make it simple in deciding responsibility of the executives. It makes it simple to gauge the exhibition of supervisory crew and give any ideas.

It helps in breaking down administration capacity in keeping up with dissolvability of the firm, expanding the organization's benefit and different other significant jobs.

It guides the administration to take on specific accounting standards and its strategy. Same arrangement ought to be followed continually to keep away from any disarray.

Accounting Easy & Simple

Working in the general Indian accounting system, data is a significant benefit of accounting norms. It gives standard guidelines to each and every accounting exchange. It eliminates all intricacy in the accounting system.

Standard and uniform cycle is followed. It helps the clients in simple agreement and dodges any deludes from it.

Concepts and Conventions of Accounting

The **accounting concept** is a **process that helps prepare and record** the financial transactions in an organisation, along with organising the bookkeeping processes. When you implement accounting concepts effectively, it encourages businesses to integrate and interpret financial transactions into meaningful accounting processes.

It is always important for business accountants and owners to clearly understand the basic accounting concepts. Such understanding helps in integrating uniformity and consistency within the business accounting processes.

Both accounting concepts and principles are important to implement within the organisation as they help analyse different financial rules, theories and situations and make financial decisions based on them.

Importance of Accounting Concepts

You can understand the aspects of accounting concepts clearly once you understand why knowing and implementing accounting concepts is important for you, which are as follows:

- **Consistency and comparability**

Accounting principles are important because they provide uniformity and comparability in financial reporting. For example, the going concern notion believes that a firm will continue to exist indefinitely. This assumption enables financial statements to be prepared with a long-term perspective, allowing for meaningful comparisons over numerous accounting periods.

- **Risk management**

The prudence concept promotes a cautious approach to financial reporting. This approach aids firms in risk management by recognising possible losses immediately but only recognising rewards when they are realised. Setting up provisions for possible bad debts based on past trends, for example, demonstrates a responsible approach to risk management.

- **Support in decision-making**

Accounting principles give organisations a standardised framework for keeping track of financial transactions, allowing them to produce accurate information quickly. A more accurate

depiction of a company's financial situation is provided by the accrual concept, which recognises revenues and costs as they are generated or spent. Because accurate financial reporting gives stakeholders a comprehensive picture of a company's profitability and financial health, it facilitates effective decision-making.

- **Credibility**

Applying accounting principles strengthens financial statements' legitimacy and fosters stakeholder trust. By matching revenues with their associated expenditures, the matching concept keeps profits from being manipulated by ensuring that income aligns with the spending required to produce it. This fosters trust among creditors, investors, and other stakeholders who depend on financial statements to evaluate its health and sustainability.

Types of Accounting Concepts

Here is a list of different types of accounting concepts that you can implement in your business as per the requirements and situations of the company:

1. Going concern concept

According to the going concern concept, a firm will continue to operate indefinitely. This assumption has an impact on financial statement preparation, allowing accountants to portray long-term assets at their historical cost and giving stakeholders a more realistic picture of a company's financial health in the long run.

2. Business entity concept

In terms of the business entity concept, a business is a distinct economic entity from its owners. This notion guarantees that personal and corporate money are kept separate, allowing for transparent financial reporting. It facilitates measuring the success of the firm independent of its owners' financial actions, fostering openness and accountability.

3. Accrual concept

The accrual concept mandates that revenues and costs be recognised as they are received or spent, regardless of financial movements. This idea improves financial statement accuracy by matching them with the economic content of transactions and giving stakeholders a more complete knowledge of a company's financial status.

4. Money measurement concept

According to the money measurement concept, only monetary transactions should be documented in accounting. This approach makes quantification and comparison easier, ensuring that financial statements contain relevant and comparable information for decision-making.

5. Accounting period concept

The accounting period concept separates a company's economic existence into discrete periods, often a fiscal year, for financial reporting. This approach enables timely and consistent reporting, assisting stakeholders to evaluate a company's performance and make educated decisions at precise intervals.

6. Dual aspect concept

According to the dual aspect concept, every financial transaction includes two components: a debit and a credit. This double-entry technique keeps the accounting equation ($\text{Assets} = \text{Liabilities} + \text{Equity}$) balanced, allowing for a systematic approach to documenting and assessing financial transactions.

7. Revenue realisation concept

As to the income realisation concept, income should be recognised when it is earned, regardless of when payment is received. This notion prevents revenue from being recognised prematurely, aligning financial statements with the actual delivery of products or services and improving the trustworthiness of reported revenues.

8. Historical cost concept

The historical cost concept assesses assets at their original cost, giving financial reporting a solid and objective foundation. This notion improves dependability by minimising subjective values and guaranteeing that financial statements accurately represent asset purchase costs.

Examples of Accounting Concepts In Practice

To understand the above-discussed types of accounting concepts, you need to have a practical understanding so as to implement the same. Here are some examples of each accounting concept you read above.

- **Going concern concept**

In the case of this concept, when valuing its machinery and equipment on the balance sheet, a manufacturing firm expects it will be used for a lengthy period of time, indicating the notion that the business would continue operations indefinitely.

- **Business entity concept**

If the proprietor of a small firm buys a personal laptop, the firm entity concept guarantees that this personal spending is not reported in the company's financial records, preserving a clear boundary between personal and business operations.

- **Accrual concept**

The accrual concept is used by a consulting business that provides services, for example, in December but receives payment in January. The revenue is recognised in December when the service is delivered, regardless of the actual cash received.

- **Money measurement concept**

When a corporation registers the acquisition of a new piece of machinery in monetary terms, it ensures that only transactions with quantifiable monetary worth are included in the financial statements.

- **Accounting period concept**

A corporation that prepares quarterly financial statements follows the accounting period concept by disclosing its financial performance and position every three months, giving stakeholders timely insights into the company's growth.

- **Dual aspect concept**

When a company borrows money from a bank, the dual aspect concept guarantees that both the liability (the loan) and the matching asset (cash) are recorded, keeping the basic accounting equation balanced.

- **Revenue realisation concept**

A software firm recognises revenue if a consumer purchases a software licence, regardless of when the payment is made. This use of the revenue realisation concept corresponds to completing the revenue-generating process.

- **Historical cost concept**

If a corporation buys a building, the historical cost concept requires the asset to be recorded at its original purchase price, giving a solid and objective foundation for the value of the financial statement.

What are Accounting Conventions?

Accounting conventions, also known as doctrine, are known to be **principles** that act as restrictions regarding **organisational transactions** that are **unclear or complicated**. Even though accounting conventions do not act as legally binding, these are considered generally accepted principles helping to maintain consistency within the financial statements of a company.

The standard financial reporting system processes the information and uses accounting conventions to compare the different aspects of the transaction, along with analysing its relevance, application and full disclosure in the financial statements. The accountants in a

company adopt the use of these conventions so that they act as a guide while preparing accounting statements and reports.

Importance of Accounting Conventions

To have a clear understanding of what accounting conventions are, it is necessary for you to understand their importance. Let us check below to get a clear idea of the importance of accounting conventions in a business:

- **Different entity**

Accounting norms are critical in dealing with various entities in the financial environment. These conventions guarantee that companies, regardless of their type of business, adopt standardised practices for documenting financial transactions by setting consistent criteria. This consistency is critical for establishing a level playing field, facilitating fair comparisons across companies, and developing a thorough knowledge of financial statements among stakeholders.

- **Understanding**

Accounting conventions provide financial experts and stakeholders with a unified language. They provide a common knowledge of how financial data is recorded and reported, which allows a correct interpretation. This understanding is critical for decision-making because it enables users to analyse financial information and make educated decisions based on a set of standardised rules.

- **Impact on money**

One of the paramount aspects of accounting conventions is their direct impact on representing monetary values in financial statements. These conventions provide a controlled and standardised method of measuring and documenting financial transactions, assuring the accuracy and precision with which an entity's monetary situation is reflected.

- **Reliable**

The foundation of financial reporting is reliability, and accounting conventions play a critical role in maintaining this vital quality. Financial statements correctly reflect the financial status and performance of a business when standards are used consistently. To make wise decisions, stakeholders—including creditors and investors—depend on the accuracy of financial data.

- **Comparison**

Comparing various entities in a meaningful way is made possible by uniform accounting rules. This comparability is essential for investors, analysts, and other stakeholders looking to assess the financial standing and performance of different companies. It makes benchmarking easier and helps spot market trends, which leads to better decision-making.

Types of Accounting Conventions

Similar to accounting concepts, accounting conventions also have different types that help implement the concept in business financials efficiently. Here is a list showcasing the types of accounting conventions:

1. Convention of conservatism

One of the most important accounting conventions that accountants apply in the business is the conservatism principle. This principle suggests that if two values are associated with a specific transaction, the lowest must be recorded on the asset or income side of the financial statement. In this case, the possibility of loss is taken care of.

This accounting convention aims to understate profits and assets while dealing with business losses. Such practice mostly helps in enhancing the overall reliability of company stakeholders on the financial statements.

2. Convention of materiality

This accounting convention is related to all the relative information available for an item or event of a company's financial transactions. An item is generally considered material with

respect to the influence it has on an investor's decisions. The aspect of materiality differs from one organisation to another.

For instance, in the case of a small company, certain information can be material but the same information may not be material for a large organisation. Hence, the application of materiality convention entirely depends on the context of analysis.

3. Convention of consistency

Consistency convention denotes that the same principles of accounting must be implemented to prepare the business financial statements, year after year. From the prepared financial statements, it is important to draw a meaningful conclusion of the same company when a comparison is made of the statements over a period.

Such financial comparisons can only be made if the same accounting practices and principles are followed uniformly by the firm over a period of time. In the case of different accounting policies implemented every year, the comparison will not stand fruitful, and the result can also impact financial decisions.

4. Convention of full disclosure

The principle of full disclosure mandates the comprehensive revelation of all pertinent details in financial statements. This entails a thorough, impartial, and ample disclosure of accounting information.

‘Adequate’ denotes a satisfactory amount of information to be divulged, ‘fair’ implies equitable treatment for users, and ‘full’ demands a complete and detailed presentation. Consequently, the convention underscores the necessity for financial statements to fully disclose all pertinent information.